

EVG1009 - Harold Jensen & Eleanor Jensen (deceased) - 2025 Form 1040

CLIENT COPY - FINAL (signed off) - Tax Year 2025 - Prepared by Evergreen Tax (synthetic firm)

Taxpayer / Spouse	Harold L. Jensen (XXX-XX-6620) / Eleanor M. Jensen (XXX-XX-4318) - DECEASED 08/09/2025
Address	1020 W Riverside Ave Apt 604, Spokane, WA 99201 (new address - home sold 12/12/2025)
Filing status	Married filing jointly (year of spouse's death) - 'Filing as surviving spouse'
Dependents	None
Digital assets question	No
Forms included	1040, Sch 1-A (seniors), Sch A, Sch B, Sch D, Form 8949 (boxes D, E, F)
State	None - Washington has no income tax; WA capital gains excise not triggered
Filing method	E-file 04/09/2026 (Form 8879 signed by Harold as surviving spouse 04/07/2026); refund direct deposit Number

Key figures	Amount
Total income (1040 line 9)	95,881
Adjusted gross income (line 11)	95,881
Deduction (line 12e) - Itemized (Schedule A)	52,845
QBI deduction (line 13a)	0
Schedule 1-A deductions (line 13b)	12,000
Taxable income (line 15)	31,036
Total tax (line 24)	1,368
Total payments (line 33)	3,400
REFUND (line 35a)	2,032

Form 1040

Line	Description	Amount
1a	Total amount from Form(s) W-2, box 1	0
1b	Household employee wages not reported on Form(s) W-2	0
1c	Tip income not reported on line 1a (Form 4137)	0
1e	Taxable dependent care benefits (Form 2441, line 26)	0
1h	Other earned income	0
1z	Add lines 1a through 1h	0
2a	Tax-exempt interest	0
2b	Taxable interest	1,215
3a	Qualified dividends	5,960
3b	Ordinary dividends	6,840
4a	IRA distributions	10,000
4b	IRA distributions - taxable amount	10,000
5a	Pensions and annuities	28,800
5b	Pensions and annuities - taxable amount	28,800
6a	Social security benefits	45,960
6b	Social security benefits - taxable amount	37,639
7	Capital gain or (loss) (Schedule D)	11,387
8	Additional income from Schedule 1, line 10	0
9	Total income	95,881
10	Adjustments to income from Schedule 1, line 26	0
11	Adjusted gross income	95,881
12e	Standard deduction or itemized deductions (Itemized (Schedule A))	52,845
13a	Qualified business income deduction (Form 8995/8995-A)	0
13b	Additional deductions from Schedule 1-A, line 38	12,000
14	Add lines 12e, 13a, and 13b	64,845
15	Taxable income	31,036
16	Tax	1,368
17	Amount from Schedule 2, line 3	0
18	Add lines 16 and 17	1,368
19	Child tax credit / credit for other dependents (Schedule 8812)	0
20	Amount from Schedule 3, line 8	0
21	Add lines 19 and 20	0
22	Subtract line 21 from line 18	1,368
23	Other taxes, including self-employment tax, from Schedule 2, line 21	0
24	Total tax	1,368
25a	Federal income tax withheld - Form(s) W-2	0
25b	Federal income tax withheld - Form(s) 1099	3,400
25c	Federal income tax withheld - other forms (incl. Form 8959 line 24)	0
25d	Total withholding	3,400
26	2025 estimated tax payments and amount applied from 2024 return	0
27a	Earned income credit (EIC)	0

Line	Description	Amount
28	Additional child tax credit (Schedule 8812)	0
29	American opportunity credit - refundable (Form 8863, line 8)	0
31	Amount from Schedule 3, line 15	0
32	Total other payments and refundable credits	0
33	Total payments	3,400
34	Amount overpaid	2,032
35a	Refund	2,032
37	Amount you owe	0
38	Estimated tax penalty (Form 2210)	0

Schedule B

Line	Description	Amount
1.1	Charles Schwab & Co.	1,215
2	Total interest	1,215
4	Taxable interest (to Form 1040, line 2b)	1,215
5.1	Charles Schwab & Co.	6,840
6	Ordinary dividends (to Form 1040, line 3b)	6,840
7a	Foreign financial account at any time in 2025? / FBAR required?	No
8	Grantor of / transferor to a foreign trust?	No

Form 8949 (Box E)

Line	Description	Amount
1	400 sh Vanguard 500 Index Admiral (VFIAX) - INHERITED (community property) acq INHERITED sold 11/14/2025 proceeds 230,000 basis 222,048 code adj 0	7,952
3	200 sh Johnson & Johnson (JNJ) - INHERITED (community property) acq INHERITED sold 10/06/2025 proceeds 37,620 basis 31,080 code adj 0	6,540

Form 8949 (Box D)

Line	Description	Amount
2	300 sh Microsoft Corp (MSFT) - INHERITED (community property) acq INHERITED sold 10/06/2025 proceeds 153,000 basis 13,500 code B adj -142,605	(3,105)

Form 8949 (Box F)

Line	Description	Amount
4	Principal residence 3415 S Manito Blvd, Spokane WA (Form 1099-S) - sec. 121 exclusion acq INHERITED/1998 sold 12/12/2025 proceeds 685,000 basis 666,773 code H adj -18,227	0

Schedule D

Line	Description	Amount
7	Net short-term capital gain or (loss)	0
LT box E	Long-term from Form 8949 box E (proceeds 267,620; cost 253,128; adj 0)	14,492
LT box D	Long-term from Form 8949 box D (proceeds 153,000; cost 13,500; adj -142,605)	(3,105)

Line	Description	Amount
LT box F	Long-term from Form 8949 box F (proceeds 685,000; cost 666,773; adj -18,227)	0
15	Net long-term capital gain or (loss)	11,387
16	Combine lines 7 and 15	11,387

Schedule A

Line	Description	Amount
1	Medical and dental expenses	48,710
3	7.5% of AGI	7,191
4	Deductible medical	41,519
5a	General sales taxes	1,480
5b	State and local real estate taxes	6,446
5c	State and local personal property taxes	0
5d	Add lines 5a through 5c	7,926
5e	Smaller of line 5d or SALT limit (\$40,000 after MAGI phase-down)	7,926
7	Total taxes	7,926
8a	Home mortgage interest and points reported on Form 1098	0
8e	Add lines 8a through 8c	0
10	Total interest	0
11	Gifts by cash or check	3,400
12	Other than by cash or check	0
14	Total gifts to charity	3,400
17	Total itemized deductions	52,845

Schedule 1-A

Line	Description	Amount
Part I	Modified AGI	95,881
Part V	Enhanced deduction for seniors (2 x max(0, 6,000 - 6% x excess MAGI 0))	12,000
38	Total additional deductions (to Form 1040, line 13b)	12,000

Filing status - year of death

Filing status. Eleanor died 08/09/2025. A surviving spouse may file a joint return for the year of death if he has not remarried by year end (sec. 6013(a)(2)); MFJ is the correct status for 2025 - not qualifying surviving spouse (QSS requires a dependent child and applies only to the two years AFTER the year of death). Harold has no dependent, so from 2026 he files Single. Return is signed 'Harold L. Jensen' and 'Filing as surviving spouse' in Eleanor's signature space; 'DECEASED Eleanor M. Jensen 08/09/2025' is shown next to her name. No executor/administrator appointed; Form 1310 is not required for a surviving spouse filing a joint return.

Social security benefits worksheet

Social Security Benefits Worksheet (MFJ)	Amount
1 Net benefits (Harold 31,200 + Eleanor 16,605 paid - 1,845 repaid = 14,760)	45,960
2 One-half of line 1	22,980
3 Other income (lines 1z, 2b, 3b, 4b, 5b, 7, 8)	58,242

Social Security Benefits Worksheet (MFJ)	Amount
4-5 Tax-exempt interest 0; adjustments 0 -> combined income	81,222
6 Base amount MFJ	32,000
9 Excess over base	49,222
11 Excess over 44,000	37,222
16 Taxable (lesser of 85% of benefits or worksheet)	37,639

Basis of inherited securities (Form 8949 support)

Inherited securities - basis (sec. 1014(b)(6) community property: BOTH halves to DOD FMV)	Original cost	1099-B basis	DOD FMV (correct basis)	Proceeds	Gain
400 sh Vanguard 500 Index Admiral (VFIAX) sold 11/14/2025	48,200	not reported	222,048	230,000	7,952
300 sh Microsoft Corp (MSFT) sold 10/06/2025	13,500	13,500	156,105	153,000	(3,105)
200 sh Johnson & Johnson (JNJ) sold 10/06/2025	11,800	not reported	31,080	37,620	6,540
Total	73,500		409,233	420,620	11,387
Wrong: original cost -> gain 347,120; half step-up only (common-law rule) -> gain 179,254					

Sale of main home - sec. 121

Sale of home - 3415 S Manito Blvd (Form 1099-S) - Form 8949 Part II box F, code H	Amount
Gross sales price (1099-S box 2)	685,000
Less selling expenses: commission 37,675, WA REET 11,248, title/escrow 2,850	(51,773)
Amount realized	633,227
Basis: 100% stepped up to DOD FMV (community property - appraisal 08/09/2025); original cost + improvements \$295,000 irrelevant	615,000
Gain	18,227
Form 8949: column (d) gross proceeds 685,000 (ties to 1099-S); column (e) basis 615,000 + selling expenses 51,773; column (g) code H	
Sec. 121 exclusion (owned & used 2 of 5 years; MFJ in year of death -> \$500,000; also available to an unmarried surviving spouse for sales within 2 years of death, sec. 121(b)(4))	(18,227)
Taxable gain	0
Without step-up and with a \$250,000 single exclusion (two errors): 338,227 - 250,000 = 88,227 taxable	

Schedule A - medical detail

Schedule A line 1 - medical and dental (paid in 2025 by Harold; decedent's expenses paid for his spouse)	Amount
Providence Sacred Heart Medical Center - inpatient stay 05/2025, patient balance (MA plan max OOP + out-of-network)	6,850
Hospice House of Spokane - residential room & board 06/08-08/09/2025 (62 days x \$300; not covered by Medicare hospice)	18,600
Evergreen Home Care Agency - certified nursing aide, chronically ill, plan of care by physician (sec. 7702B(c))	12,400
Medicare Part B - Harold (SSA-1099 description)	2,220
Medicare Part B - Eleanor (SSA-1099 description)	1,480
Medigap Plan G + Part D - Harold (12 mo)	3,180
Medigap Plan G + Part D - Eleanor (Jan-Aug)	2,120
Harold - dental, prescriptions, hearing aid batteries, copays	1,860
Total medical (line 1)	48,710
Less 7.5% of AGI	(7,191)
Deductible medical (line 4)	41,519
Funeral / burial \$14,500 - NOT deductible on Form 1040 (Form 706 only)	0

Standard vs itemized

Deduction comparison	Amount
Standard: MFJ 31,500 + 2 x 1,600 (both 65+; a spouse who dies is 65+ if 65 on the date of death)	34,700
Itemized: medical over floor + taxes (property tax through 12/11/2025 6,446 + WA sales tax table 1,480) + charity	52,845
Result	Itemize
Schedule 1-A senior deduction (both spouses 65+; MAGI 95,881 < \$150,000) - allowed whether or not itemizing	12,000

Washington capital gains excise

Washington capital gains excise tax check (RCW 82.87)	Amount
Long-term capital gains from stocks (real estate is exempt from the WA excise)	11,387
2025 standard deduction (indexed)	278,000
WA excise tax due	0
If basis were NOT stepped up: LTCG 347,120 - 278,000 = 69,120 x 7% -> WA return required	